GOVERNMENT OF DUBAI

Decree No. 43 of 2013

Determining the Increase in the Real-Estate Rentals in the Emirate of Dubai

We, Mohammed bin Rashid Al Maktoum, the Ruler of Dubai,

Having reviewed:

1. The Law No. 9 of 2004 concerning Dubai International Financial Center, as amended;

2. The Law No. 16 of 2007 on Establishing the Real Estate Regulatory Agency;

3. The Law No. 26 of 2007 on Regulating the Relation between Landlords and Tenants in the Emirate of Dubai, as amended;

4. The Decree No. 22 of 2009 concerning the Special Development Areas in the Emirate of Dubai;

5. The Decree No. 2 of 2011 regarding the Real-Estate Rentals in the Emirate of Dubai;

6. The Decree No. 26 of 2013 concerning the Rent Disputes Settlement Center in the Emirate of Dubai; and

7. The legislations regulating the free zones in the Emirate of Dubai;

Decree that:

The Percentage of the Increase

Article 1

The percentage of the maximum increase in the real-estate rental in the Emirate of Dubai shall be determined upon renewing the real-estate leases as follows:

(a) With no increase in the rent value of the real-estate unit, if its rental is less than 10% of the average market rental rate;

(b) 5% of the rent value of the real-estate unit, if its rental is decreased by 11%–20% of the average market rental rate;

(c) 10% of the rent value of the real-estate unit, if its rental is decreased by 21%–30% of the average market rental rate;

(d) 15% of the rent value of the real-estate unit, if its rental is decreased by 31%–40% of the average market rental rate; and

(e) 20% of the rent value of the real-estate unit, if its rental is decreased by more than 40% of the average market rental rate.

The Scope of Application

Article 2

The present Decree shall apply to all landlords of the public and private authorities in the Emirate of Dubai, including the special development areas and the free zones, including Dubai International Financial Center.

The Average Market Rental Rate

Article 3

For the purpose of applying Article 1 hereof, the average market rental rate shall be set according to the "Rent Index of the Emirate of Dubai" which is approved by the Real Estate Regulatory Agency.

Publishing & Effectiveness

Article 4

The present Decree shall enter into force as of the date of issuance and shall be published in the Official Gazette.

Mohammed bin Rashid Al Maktoum (signed)

The Ruler of Dubai

Issued in Dubai on 18 December 2013 A.D.

Corresponding to 15 Safar 1435 A.H.